

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

EALYTEX GLOBAL INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD., *Respondent*.

DOCKET NO. 26-08

Served: August 5, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

ORDER DENYING MOTION FOR PARTIAL SUMMARY JUDGMENT

I. BACKGROUND

On May 27, 2026, Complainant filed a Verified Complaint (“Complaint”) that the Office of the Secretary served on Respondent on June 3, 2026. In general, Complainant alleges that Respondent violated 46 U.S.C. §§ 41102(c) and 41104(a)(10). Respondent allegedly charged excessive demurrage and detention fees, and refused to deal or negotiate regarding the assessment of those charges. Complainant also alleges that it filed a charge complaint with the Commission against Respondent that was resolved by agreement. Respondent, however, allegedly failed to hold up its end of the agreement and owes Complainant \$91,545 that Respondent agreed to pay. (*See generally* Complaint).

On July 10, 2026, Respondent filed Respondent’s Motion for Partial Summary Judgment (“MPSJ”) alleging that Complainant should be barred from seeking reparations due to the “direct purchaser rule.” In short, Respondent argues that the relevant demurrage and detention invoices were not issued to Complainant, but to trucking companies that worked for Complainant, who, in turn, paid the invoices. (MPSJ, at 3). Under the direct purchaser rule, the truckers would have standing to bring an action, not Complainant. (MPSJ, at 4-7).

Complainant filed Complainant’s Response in Opposition to Respondent’s Motion for Partial Summary Judgment (“MPSJ Opp.”) on July 27, 2026. In short, Complainant argues that the truckers were Complainant’s agents, and therefore the direct purchaser rule does not apply. (MPSJ Opp., at 3-5). Further, as part of the resolution of the charge complaint, Respondent waived any defense related to the direct purchaser rule. (MPSJ Opp., at 5-6). In any event, Complainant could obtain an assignment if needed, so it should be allowed to amend the Complaint. (MSPJ Opp., at 6).

Respondent filed Respondent’s Reply in Support of its Motion for Partial Summary Judgment (“MPSJ Reply”) on August 3, 2026. Initially, Respondent argues that I should stay this

matter as refunds will be issued shortly to the truckers. (MPSJ Reply, at 1-2). Respondent also reiterates its arguments that the direct purchaser rule should apply. (MPSJ Reply, at 2-6, 8-9). Additionally, Respondent argues that there was no “agreement” to resolve the charge complaint or to waive any defenses, and that even if there was, any remedy for a breach of the agreement would be outside of the Commission’s jurisdiction. (MSPJ Reply, at 6-8).

II. LEGAL STANDARD

Although the Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly provide for motions for summary judgment, Rule 12 of the Commission’s Rules states that the Federal Rules of Civil Procedure (“Federal Rules”) will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. (46 C.F.R. § 502.12). “The Commission applies the federal summary judgment standard (FED. R. CIV. P. 56) in deciding parties’ motions for summary decision.” (*Intermodal Motor Carriers Conference v. OCEMA*, Docket No. 20-14, 2024 WL 641501, at *9 (FMC Feb. 13, 2024)).

Pursuant to Federal Rule 56, a party is entitled to the entry of summary judgment if “there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law.” (FED. R. CIV. P. 56(a)). A material fact is one that is capable of affecting the outcome of litigation. (*Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986)). “Mere allegations, unsupported by specific facts or evidence beyond the nonmoving party’s own conclusions, are insufficient to withstand a motion for summary judgment.” (*Thomas v. Corwin*, 483 F.3d 516, 527 (8th Cir. 2007) (citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986))). If the non-movant’s evidence is “merely colorable” or “not significantly probative,” summary judgment may be granted. (*Liberty Lobby*, 477 U.S. at 249-50 (1986)).

Further, the existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment. (*Anderson*, 477 U.S. at 247-48). “Where the record taken as a whole could not lead a rational trier of fact to find for the nonmoving party, there is no ‘genuine issue for trial.’” (*Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (citation omitted)). However, the inferences to be drawn from the underlying facts must be viewed in the light most favorable to the non-moving party. (*Id.*, at 587).

III. UNDISPUTED MATERIAL FACTS

The following facts are found to be undisputed and material to the issue raised in the MPSJ, namely the direct purchaser rule.

1. Complainant shipped containers using Respondent’s services. (Complaint, ¶ 10; Verified Answer, ¶ 10).
2. Respondent issued demurrage and detention invoices to Golden State Drayage Company (“GSDC”) and Never Ending Express, Inc. (“NEEI”). (See Decl. of Krystle Watson, ¶ 10; see also MPSJ Ex. A; Decl. of Luna Zhang (“Zhang Decl.”), ¶ 12; Zhang Decl., at Ex. J).

3. GSDC and NEEI issued invoices to Complainant in the same amounts as the invoices Respondent issued to GSDC and NEEI. (Zhang Decl., at Ex. J).
4. Respondent apparently agreed to waive certain charges as early as October 30, 2023, but sent several emails to the Commission and Complainant indicating that there were internal processing delays. (See Zhang Decl., at Exs. A-I).

IV. ANALYSIS

The MPSJ is **DENIED**.

As an initial matter, Respondent suggested I should stay this matter in order to allow its internal processes to resolve this matter. I decline that suggestion. It appears from the record that Respondent agreed to waive certain charges over 33 months ago, and they have not yet been waived. (See Undisputed Material Fact (“UMF”), ¶ 4). This matter will proceed.¹

Respondent relies on *In re: Vehicle Carrier Services* (“VCS”) to argue that Complainant is not a direct purchaser. (MPSJ, at 5). There, in a matter involving four² consolidated cases, the Commission affirmed the ALJ’s initial decision granting a motion to dismiss regarding three of the four sets of complainants, stating that the Commission has “repeatedly found that a complainant cannot rely on a pass-on theory to recover reparations for overcharges. In numerous decisions, the Commission has ruled that only the party who actually paid the carrier (or the valid assignee of the payor) can sue for reparations.” (VCS, Dkt. nos. 16-01, 16-07, 16-10 and 16-11, 1 F.M.C.2d 440, 446, 2019 WL 5419475, at *6 (FMC Oct. 21, 2019)). Although one of the four sets of complainants alleged that they paid directly for the services at issue, the other three sets of complainants, who included a truck wholesaler, auto dealers, and consumers, alleged that artificially inflated charges were passed along to them. (*Id.*, at 1 F.M.C.2d at 445, 453; 2019 WL 5419475, at *3, *7). The Commission concluded that because these three sets of complainants were not direct purchasers, they lacked standing, even if they could qualify as a “shipper.” (*Id.*, 2019 WL 5419475, at *6-7, *12-15). “Complainants can recover only if they introduce evidence that they actually paid the carrier or received an assignment from someone who did.” (*Id.*, at *6).

In its decision in *VCS*, the Commission relied on analogous cases from the antitrust context, particularly *Illinois Brick v. Illinois*, 431 U.S. 720, 726 (1977). (*VCS*, 1 F.M.C.2d at 452-53; 2019 WL 5419475, at *6). There, in an antitrust case where the consumer sued a brick manufacturer/distributor, the Supreme Court explained that the direct purchaser rule was necessary to prevent multiple judgments by various parties in the distribution chain, to avoid the complex task of apportioning damages to various parties in the distribution chain, and because

¹ Both parties discuss briefly potential attorneys’ fees. (MPSJ Opp., at 6; MPSJ Reply, at 10, n.6). The issue is premature. (46 C.F.R. § 502.254(c)).

² A fifth case, brought by the vehicle manufacturer, was also not dismissed by the ALJ, but settled before the Commission issued its decision. (*In Re: Vehicle Carrier Services*, 1 F.M.C.2d 45, 83, 2018 WL 2214682, at *38 (ALJ May 7, 2018)).

indirect purchasers were less likely to sue. (*VCS*, 2019 WL 5419475, at *6 (citing *Illinois Brick*, 431 U.S. at 730-33, 737, 745-46)).

Respondent also relies on *Government of Guam v. Sea Land Service, Inc.*, Dkt. 89-26, 29 S.R.R. 894, 2002 WL 35693313 (ALJ Mar. 27, 2002) (exceptions denied, Dkt. No. 89-26 (FMC July 11, 2005)). (MPSJ, at 5-7). There, the respondent, in relevant part, moved for summary disposition regarding 155 of the shipments at issue. (*Sea Land*, 29 S.R.R. at 894-95, 2002 WL 35693313, at *2). The respondent argued that third-party shippers paid the relevant charges, not the complainant shippers. Relying on the direct purchaser rule, the ALJ dismissed all 155 claims, including 50 shipments where “complainants provided documentation which they claim indicates that they in fact paid the mainland shipper an amount allegedly attributable to [respondent’s] charges to the mainland shipper.” (*Id.*, at 895, 901-03, 910; 2002 WL 35693313, at *2, *10-11, *20).

The ALJ in *Sea Land* discussed, among other cases, *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 USSBB 308 (1934), “‘where it was held that injury occurred when the inapplicable charges were paid; that the claim of the payor accrued at once and that the law does not inquire into later events’” (*Sea Land*, 29 S.R.R. at 901 (citing *Oakland*, 1 USSBB at 310-11)). The *Sea Land* decision noted that *Oakland* relied on *Southern Pacific Co. v. Darnell Taenzer Lumber Co.*, 245 U.S. 531, 534 (1918), where Justice Holmes noted that: “‘The general tendency of the law, in regard to damages at least, is not to go beyond the first step. . . .’” (*Sea Land*, 29 S.R.R. at 901 (quoting *So. Pacific*, 245 U.S. at 534)).

Although I appreciate Respondent’s argument, I am not persuaded. This case is distinguishable from *Sea Land*, where the ALJ granted a motion to dismiss where a third-party shipper prepaid the offending fees. (*Sea Land*, 29 S.R.R. at 895, 901-03, 910). Here, there is an unresolved question regarding the relationship between Complainant and the truckers. If the truckers were Complainant’s agents or couriers, which the evidence suggests the truckers may have been (*see* UFM, ¶ 3), then Complainant would be the real party in interest. Also, the bills of lading, which are not in the record, may have made Complainant directly responsible for the charges at issue. In *Simple Forwarding Inc. v. China United Lines, Ltd.*, Dkt. No. 2010(F), 2025 WL 1723588 (ALJ Feb. 6, 2025) (notice not to review, Mar. 11, 2025), a similar argument regarding the application of the direct purchaser rule was rejected where the trucker was found to be the shipper’s agent and the bill of lading made the shipper responsible for the detention charge. (*Simple Forwarding*, 2025 WL 1723588, at *15).

Because of the unresolved question of fact, it is unclear if the rationale behind the direct purchaser rule is applicable. In *VCS*, claims from downstream purchasers who were several steps removed from the transportation at issue raised concerns about potential multiple inconsistent judgments, as well as potential allocation of damages. (*VCS*, 2019 WL 5419475, at *3, *6-7 (citing *Illinois Brick*, 431 U.S. at 730-33, 737, 745-46)). Here, if the truckers are Complainant’s agents, and the bills of lading make Complainant responsible for fees, those concerns would not apply. In such case, Complainant would not be several steps removed from the transportation at issue; instead, Complainant would be the shipper. (UMF, ¶ 1). Moreover, if the truckers are merely agents, there would be no real concern about multiple inconsistent judgments because Complainant would be the party who was ultimately injured. (UMF, ¶ 3).

In addition, I note that many of the cases applying the direct purchaser rule involve a case where there is no allegation, let alone a fact finding, that the complainant paid the offending charge at all. For example, in *Sanrio v. Maersk Line*, 19 S.R.R. 907-09 (ALJ 1979), which is cited by Respondent (*see* MPSJ, at 7), the complaint alleged that the freight charges were pre-paid, presumably by a third party, and the U.S.-based complainant was ““subject to the payment of rates and charges.”” The ALJ ordered the complainant to show that it had standing to seek reparations as the complainant was required to show that it paid the freight initially or validly succeeded to the claim. (*Sanrio*, 19 S.R.R. at 909). In *Carton-Print, Inc. v. Austasia Container Express*, 20 F.M.C. 31, 34-35 (ALJ 1977), cited by Respondent in a footnote (*see* MPSJ, at 6, n.4), the ALJ granted a motion to dismiss because, among other reasons, the complainant neither paid the charge nor received an assignment. These cases are distinguishable, however, because there is evidence here to support a finding that Complainant was ultimately responsible for the detention and demurrage charges at issue. (*See* UMF, at ¶ 3).

For these reasons, I find that there are issues of material fact that prevent me from granting the MPSJ. I do not need to reach the issue of whether any defenses were waived during the pendency of the charge complaint, and I reserve any ruling on that topic until a future time.

V. CONCLUSION

The MPSJ is **DENIED**.

Richard C.
Ambrow Jr -S

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Richard Ambrow
Administrative Law Judge